9. To what extent does globalisation bring about prosperity for all?

<u>Key Words</u>

<u>Globalisation</u>

Refers to the world becoming interconnected as a result of massively increased trade and culture exchange. Need to consider some impacts of globalisation and evaluate how these impacts could / could not create wealth for everyone.

Examples of some impacts of globalisation: increased international trade, presence of MNCs, greater dependence on the global economy, freer movement of capital, people, goods and services.

<u>Prosperity for all</u>

Creation of wealth for <u>all countries</u> (macro view) and <u>all the different groups / stakeholders within</u> a country (micro view).

'All' – an absolute term. It would be advisable to disagree with the absolute view by showing that not everyone nor every country experienced globalisation-induced prosperity.

<u>Extent</u>

- A consideration of the **tension between expectation** (the prosperity that globalisation could **possibly** bring) **and reality** (the **actual** results of globalistion) to reflect the **complex relationship** between creation of wealth from globalisation and equal distribution.
- A recognition of the **contrasting impacts** of globalisation on the **different contexts** (for example, developed countries versus developing countries) and **different groups within a country** (socio-economic status, age, etc).

<u>Stand</u>

While globalisation has been **a key driver of unprecedented economic growth, resulting in <u>a world with much less poverty</u>, not all stakeholders benefited from the creation of wealth and economic gains**.

<u>Possible Approach</u>

A) **Arguments in favour of the statement:**
   - **Globalisation <u>could generate economic growth which raises income</u> by encouraging cross-border economic activity, especially <u>in emerging economies in Asia</u> and <u>knowledge-based sectors such as R & D and intangible assets like brands, intellectual property and software in the developed countries</u>**.
     - This increase in economic activity and international trade has contributed significantly to reducing poverty around the world.
     - According to the World Bank, developing countries now constitute 48 percent of world trade, up from 33 percent in 2000, and the number of people living in extreme poverty has been cut in half since 1990, to just under one billion people [info from lectures].
     - This positive impact has been especially large for emerging market economies, which have made increasing use of knowledge and technology transfer to boost their innovation capacity and labour productivity growth.

- On the other hand, technology leaders in knowledge-based sectors also benefit directly by selling their technologies (whether embodied in machinery or through the licensing of patents) to other countries, and indirectly from the higher productivity in other economies which generates higher incomes, thus fostering demand for their exports and increased consumption. Hence both the developing and advanced countries will stand to gain economically from globalization.

- It is **<u>supposed to level the playing field and bridge the income gap</u> between advanced economies and developing economies by increasing access to resources** (cheap raw materials, labour, skills and technology transfer) **and markets.**
  - For instance, globalisation has brought about an increase in the developing countries' GDP per capital by more than 16 % in Africa, West Asia and Latin America over the past five years, with the developing countries' share of economic pie increasing from less than 30% in 1997 to 45% in 2017 [info from lectures].
  - China's meteoric economic rise, arguably globalisation's greatest success story, has been attributed to the opening of her economy to take in foreign investments and access knowledge and technology across borders. Additionally, China also benefited from the inter-connected markets, which have made it easier for her to find consumers of Chinese goods. This is evident in China's double-digit GDP growth in the mid-2000s, fueled by the flow of goods in and out of China, and increasing her exports to $2.4 trillion in 2016, making her the world's top exporter.
  - However, the narrowing of income gap between advanced economies and developing economies may not be well-received by some advanced economies such as the US as it has been perceived as a threat, evident in Donald Trump's successful 'Make America Great Again' campaign for the US presidency in 2016 where he disparaged globalists for robbing the US of its national wealth and sovereignty, and eroded support for globalisation.

B) Arguments against the statement

- Believing that globalisation brings about prosperity for all is an excessively optimistic view. Although globalisation may improve overall incomes, **<u>the benefits are not shared equally by all</u>. <u>Developed industrialised countries benefited more</u> from <u>globalisation compared to developing countries</u> because they have <u>more resources</u> to tap on technological advances to achieve globalisation-induced prosperity [Comparing inherent advantages].**
  - Despite growing trade integration and gains in GDP, many developing countries lack the skills sought by growing sectors and the ability to adjust rapidly to changing conditions of labour market, and hence experience marginalisation from globalisation [Info from lect].
  - For example, Africa's marginalisation in world trade stems from their inability to keep pace at which globalisation proceeds. Their low productivity from unskilled labour, undercapitalisation, inadequate market infrastructure, weak institutions and support services, and poor economic policies ultimately contributed to the lack of

competitiveness, resulting in their poor economic performance, evident in the widening economic disparity between Africa and the richer countries.

- While the global economy gets bigger with more wealth is being generated from globalisation**, <u>in reality</u>, the <u>free movement</u> of capital, people, goods and services <u>is highly variable with some countries</u>, especially the developed countries, erecting barriers to limit the flow of resources to protect their interests.**
  - For example, in 2018, the US imposed tariffs on more than $360bn (£268bn) of Chinese goods, and China retaliated with tariffs on more than $110bn of US products.
  - The increased trade costs due to higher tariffs lead to a <u>lower disposable income per household</u>, while triggering retaliatory measures that lead to a country's exports to be taxed in global markets.
  - Additionally, increasing the price of the final product will hit manufacturers hard and disrupt the complex supply chain.
  - Beyond annual consumer and producer losses, the US-China trade war has led to a $15.28 billion reduction in US exports of goods and a permanent loss of 3% of GDP [info from lecture].

- **Globalisation can reinforce the exploitation and cannibalisation of weaker players <u>in the absence of strictly enforced international laws.</u>**
  - A good example would be China's Belt Road Initiative (BRI), devised by China's premier Xi Jinping, which focuses on connecting the vast array of countries that sit within the region.
  - While the BRI is framed to benefit regional economic development and enhance ASEAN-China relations, sceptics believe that this project is an example of 'debt-trap diplomacy', often citing the case of Port Hambantota in Sri Lanka, where the local government was forced to sign the port away on a 99-year lease after failing to repay Chinese loans. Although the argument has been confuted, many remained sceptical of Chinese lending activities as their terms of loans are not frequently made public nor regulated to meet international standards on debt sustainability. If the BRI projects turned out to be not commercially or financially viable, where the return on investment from the project proves to be insufficient to service the loans, many countries would have incurred burdensome debts to China and its financial institutions.

- **Globalisation does not bring about prosperity for all because <u>the interdependence and connectivity</u> brought about by globalisation becomes a <u>vulnerability when disruptions or crisis hits.</u>**
  - To illustrate, the Russia-Ukraine War has led to the surge in commodity prices such as oil, natural gas and wheat. Food manufacturing industries have suffered rapidly rising cost which diminishes profits. For instance, Thailand has raised the cost of Instant noodles, a price controlled daily staple for the first time in 14 years.

- global supply chain disruptions due to Covid-19 or accidents such as the blockage of the Suez Canal in 2021 can result in globalization-dependent industries and countries suffering from serious losses to their economy and in serious cases, their livelihoods. The shortage of semiconductor chips has affected the automotive sector the most as chips are required for features such as the computer management of engines to driver assistance systems. This has resulted in the closure of factories, loss of jobs and impeded production in companies like Ford and Volkswagen.